

Week ending: 15th October 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills remained undersubscribed for the eighth week running with the overall subscription rate increasing to **74.33%** compared to the **40.93%** recorded last week. The overall increase in the subscription rate was partly attributed by eased liquidity during the week. 182-day paper was the most subscribed at **90.07%**, while the 364-day paper recorded the lowest at **58.15%.** The CBK accepted 94.60% of the KES 17.84 Bn worth of bids received. The current fiscal year borrowing is **58%** ahead of the prorated target.

- The yield in all the papers edged up with the 91-day increasing marginally to **6.95%**, 182 and 364-days at **7.42%** and **8.23%** respectively.

- In the secondary market, the value of bonds traded decreased by **17.74%** to **10.34 Bn** from **KES 12.57 Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.92** taking the YTD loss to **0.59%.**

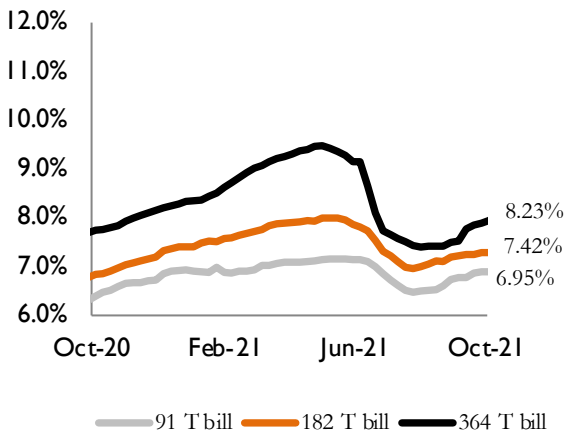
We expect activity in the secondary bond market to be driven by investors hunting for better yields and eased liquidity due to government bond settlements. Continued borrowing by the government is likely to increase upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (September)	6.91%	6.57%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

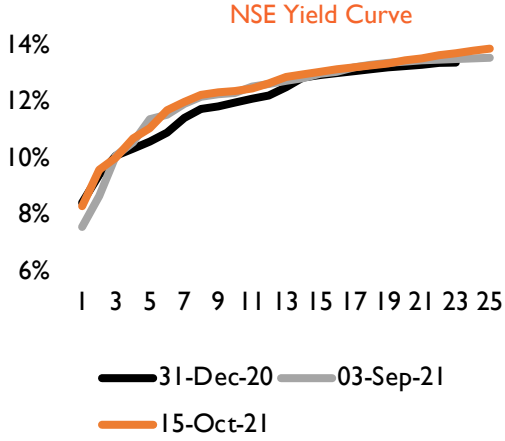
Key Indicators

	Current	Previous	% Change
91- Day	6.95%	6.94%	0.01%
182-Day	7.42%	7.32%	0.1%
364-Day	8.23%	8.02%	0.21%
Interbank Rate	4.62%	6.35%	0.57%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.14%** to trade at **110.87** from **110.72** at the close of last week. The shilling has depreciated by **1.50%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,365** million (**5.73** months of import cover), a **0.88%** week-on-week decline from **USD 9,437** million (**5.77** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money markets eased during the week, as reflected by the average interbank rate which decreased to **4.62%** from **6.35%** recorded in previous week.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK. However, government payments should inject some liquidity into the market.

Monthly Retail Fuel Prices

The Energy and Petroleum Regulatory Authority (EPRA) released the retail fuel prices for the period beginning 15th October to 14th November 2021.The prices of Super petrol and Diesel decreased by **KES 5.00** per liter to **KES 136.4** and **KES 118.01** per liter respectively while that of Kerosene decreased by **KES 7.28** to **KES 108.54** per liter. The decrease was due to reduced pump prices and the government extending its subsidy to cushion consumers against the increase in prices.

We expect the recent decrease to offer reprieve to consumers by lowering the transport index and the input cost of several products.

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